

ACCRUED EXPENSES Vs ACCOUNT PAYABLES

(Simplest Explanation)





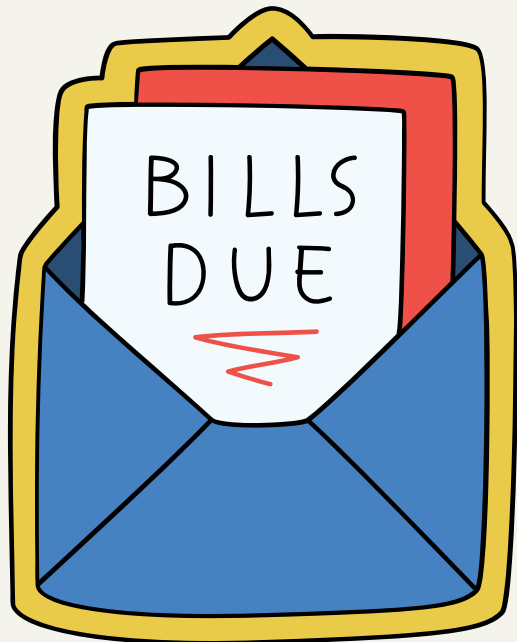
Accrued Expenses

Costs you have incurred but not yet billed for.

Account Payable

Costs you have incurred and billed for.

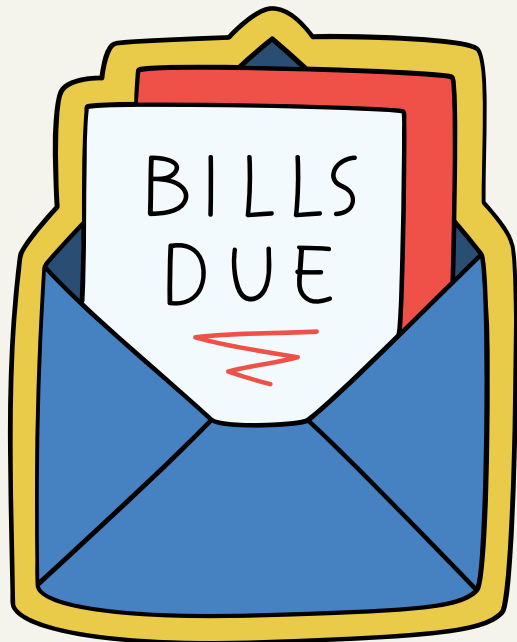
Accrued Expenses



Imagine this as
a electricity bill.

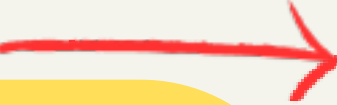
- Think of the electricity you used in **September** but haven't paid for yet.
- Even though the utility company **hasn't billed you**, you know there's a cost associated with that electricity.
- You'll record an estimated amount as an accrued expense in September to reflect this cost, ensuring your books show an accurate picture of your financial obligations for that month.

Accounts Payable



**Imagine this as
a electricity bill.**

- **Once the electricity bill arrives in October, you now have a specific amount that needs to be paid.**
- **This becomes an account payable, a clear obligation with a known amount and due date.**
- **You need to pay this bill by the due date to keep the lights on and maintain good standing with the utility company.**



Financial Statement Impact

Accrued Expenses

- **In September, the cost of the electricity you used is recorded as an expense on your income statement.**
- **As a liability on your balance sheet under accrued expenses.**

Accounts Payable

- **When the electricity bill arrives in October, the amount moves from being an accrued expense to an account payable.**
- **Paying it will decrease both your cash and your liabilities.**



Summary

Accrued Expenses are costs like the electricity you've used but haven't been billed for yet. You record them in the month the cost was incurred, even if you don't have the bill in hand.

Accounts Payable are amounts like the electricity bill you receive later. Once you get the bill, it becomes an account payable—a specific amount you need to pay by a certain date.



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